KAZAKHSTAN

Table 1	2022
Population, million	19.2
GDP, current US$ billion	220.1
GDP per capita, current US$	11476.5
Upper middle-income poverty rate ($6.85)[a]	14.3
Gini index[a]	27.8
School enrollment, primary (% gross)[b]	100.3
Life expectancy at birth, years[b]	71.4
Total GHG emissions (mtCO2e)	228.1

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2018), 2017 PPPs.
b/ Most recent WDI value (2020).

The economy grew by 3.2 percent in 2022. However, a surge in inflation has squeezed the real incomes of low-income households and could undermine efforts to reduce poverty. Inflation is expected to moderate and growth momentum to build in 2023. Russia's invasion of Ukraine and geopolitical tensions, with their attendant risks for disruption in oil transportation, pose downside risks for Kazakhstan.

Key conditions and challenges

Since the 2000s, Kazakhstan has seen remarkable economic growth, resulting in a higher living standard and reduced poverty. The country removed trade barriers, privatized a substantial portion of state assets, and opened its energy sector to FDI.

Despite this progress, the country still faces profound challenges. Since 2008, average real GDP growth fell to less than 4 percent as productivity gains stalled. This slowing dynamic, coupled with rising living costs, has intensified public discontent over inequality and elite capture, culminating in the violent protests of January 2022.

To renew strong growth, the authorities should prioritize structural reforms that increase competition, reform SOEs, and strengthen the efficiency of public institutions. Since Kazakhstan's economy relies heavily on oil-related revenues, and given the global shift toward decarbonization, the Government should focus on diversifying the economy. The transition to renewable energy needs to be accelerated to ensure a sustainable and resilient economic future. Investing in renewables, implementing carbon taxes, and energy tariff reforms are key areas to achieving this.

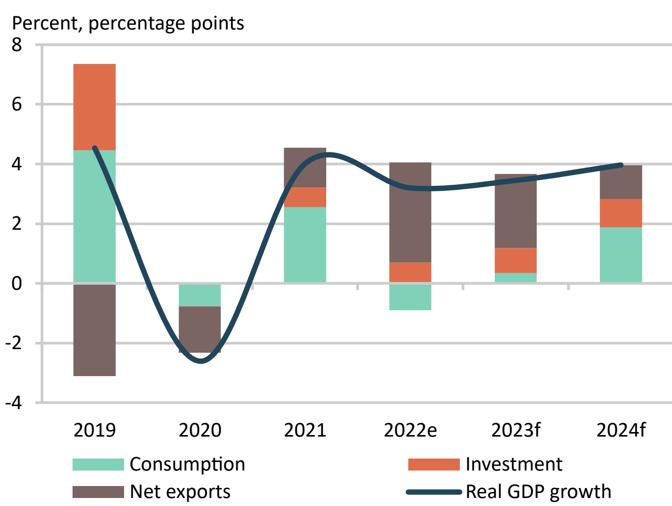
Recent developments

Despite challenges from decreased oil production and supply-chain issues stemming from the country's economic ties with Russia, Kazakhstan recorded 3.2 percent GDP growth in 2022. Growth was driven by non-oil exports to neighboring countries and investment growth of 7.9 percent, primarily in resource sectors, while consumer demand weakened as real incomes shrank under the weight of high inflation. Growth was also supported by an inflow of Russian tourists/immigrants and financial inflows, notably following the announcement of mass conscription in Russia in September. Additionally, following the war in Ukraine, some companies relocated to Kazakhstan, contributing to increased trade with Russia. On the supply side, agriculture, manufacturing, construction, and services sectors all contributed to growth.

The current account recorded a surplus of US$6.2 billion in 2022, supported by high oil export values, a significant reversal from the US$7.9 billion deficit in 2021. The acceleration in FDI was likely due to the high oil prices that drove investment into mining. Gross international reserves grew slightly and stood at 7 months of import cover by end-2022.

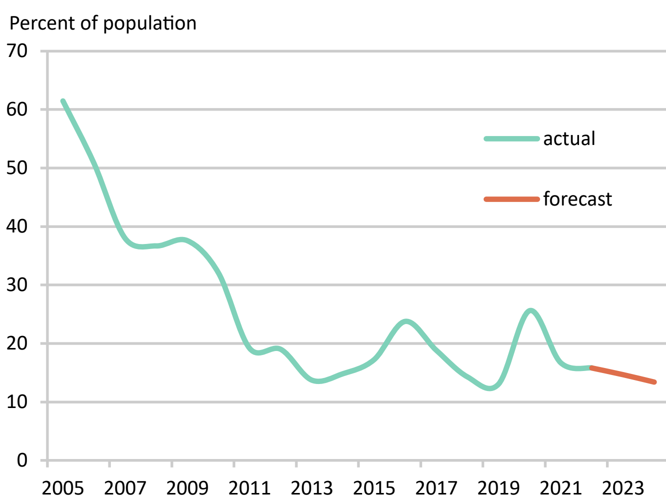
Inflation reached 21.3 percent (yoy) by February 2023, the highest in over 20 years, as a result of rising import prices, the large minimum wage and pay increases following the riots, and the depreciation of the tenge. Food prices have risen especially sharply. The Central Bank (NBK) tightened its policy rate to 16.75 percent in February 2023 from 10.25 percent a year ago. Following a depreciation of 8 percent against the US

FIGURE 1 Kazakhstan / Real GDP growth and contributions to real GDP growth



Sources: Statistical Office of Kazakhstan and World Bank staff estimates.

FIGURE 2 Kazakhstan / Poverty rate, percent of population living on less than $6.85 (PPP) per day



Source: World Bank staff estimates.

dollar in 2022, the tenge has remained stable in 2023.

The Government increased spending in 2022, on measures to alleviate the negative impacts of the war in Ukraine and the rising cost of living. Notably, it increased its welfare-enhancing programs and transfers to local governments by a total of 3 percent of GDP. Despite the higher spending, improved tax collection from both oil and non-oil resulted in higher revenues and delivered a fiscal surplus of 0.4 percent

The banking sector has remained resilient with robust capital and liquidity levels. Prior to the war in Ukraine, Russian subsidiaries held about 15 percent of assets, but, following sanctions, this fell to 0.4 percent. Real corporate loans contracted in December (yoy), while reduced consumer demand moderated lending growth to households. NPL rates reached 3.6 percent in December 2022, slightly up from 3.3 percent a year earlier.

The unemployment rate held steady at 4.9 percent throughout 2022. Labor strikes and a 41 percent increase in the minimum wage drove up real wages by 2.8 percent in Q4 (yoy).

Outlook

The economy is expected to see a moderate increase in growth to 3.5 percent in 2023 and to 4 percent in 2024, led by the hydrocarbons sector as oil production rises thanks to several new projects. Continued FDI in mining and the Government's affordable housing program will sustain investment. However, growth in household consumption is likely to be dampened by high inflation, rising borrowing costs, and increased indebtedness.

Inflation is expected to decrease but will remain elevated in 2023 due to the prolonged impact of high food prices. Tight monetary policy will contribute to a reduction toward the upper limit of its target range by 2025.

The poverty rate is expected to slightly decline to 14.7 percent (at US$6.85/day poverty line) in 2023 as growth picks up and inflation subsides. The rising cost of food and housing will remain as a key factor impacting the well-being of the population, especially the poorest households.

The 2023 budget plans for moderate real spending growth, particularly social welfare and wage increases. The budget is expected to remain balanced, albeit with continued quasi-fiscal activity. The Government plans to reduce withdrawals from the Oil Fund (NFRK) and raise non-oil tax revenue over time.

Oil prices are projected to soften, moderating export earnings and reducing the current account surplus in 2023, but a deficit may follow in subsequent years as oil prices continue to fall.

The outlook faces several downside risks. Any further disruptions to the Caspian Pipeline Consortium, transporting the majority of oil exports, could significantly impact growth. Persistently high inflation also poses a risk, particularly for low-income households. Access to effective coping mechanisms will be important to protect the poverty reduction gains of the last decade. This may call for continued monetary tightening and tighter control over fiscal spending, to make space for higher spending on social protection programs. Additional tightening of global financial conditions and potential capital flow volatility pose risks to the exchange rate. On the upside, global demand and oil prices exceeding expectations would boost growth.

TABLE 2 Kazakhstan / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f	2024f	2025f
Real GDP growth, at constant market prices	-2.5	4.3	3.2	3.5	4.0	3.6
Private Consumption	-3.8	5.1	-0.9	2.0	4.2	4.0
Government Consumption	12.8	-1.1	-3.8	0.1	0.7	2.0
Gross Fixed Capital Investment	-0.3	2.6	3.0	3.3	4.1	3.7
Exports, Goods and Services	-12.1	2.0	18.0	8.1	5.1	2.2
Imports, Goods and Services	-10.7	-2.7	11.2	3.5	4.1	4.0
Real GDP growth, at constant factor prices	-2.5	4.1	2.9	3.5	4.0	3.6
Agriculture	5.6	-2.2	9.1	3.2	3.5	3.0
Industry	-0.4	3.6	1.0	6.3	5.1	3.1
Services	-4.5	5.0	3.6	1.8	3.2	3.9
Inflation (Consumer Price Index)	6.8	8.0	15.0	9.2	6.1	5.6
Current Account Balance (% of GDP)	-4.4	-4.0	2.7	0.1	-1.4	-1.6
Net Foreign Direct Investment Inflow (% of GDP)	-3.4	-1.0	-3.8	-2.7	-2.7	-2.9
Fiscal Balance (% of GDP)	-6.5	-4.3	0.4	0.2	-0.3	-0.3
Revenues (% of GDP)	18.0	17.6	22.5	21.4	20.3	19.9
Debt (% of GDP)	24.9	23.7	23.0	23.6	25.3	26.8
Primary Balance (% of GDP)	-5.4	-3.1	1.8	1.5	1.1	1.0
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	25.6	16.7	15.8	14.7	13.4	12.1
GHG emissions growth (mtCO2e)	-5.8	-13.0	2.5	2.9	3.8	3.2
Energy related GHG emissions (% of total)	76.0	73.5	74.8	76.1	77.5	78.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on ECAPOV harmonization, using 2018-HBS. Actual data: 2018. Nowcast: 2019-2022. Forecasts are from 2023 to 2025.
b/ Projection using neutral distribution (2018) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.